

Outlook clouded by moderating ads and soft games

Ads growth to moderate in 2H26F while games remain fragile; maintain Neutral

Better 2Q26 earnings and largely in-line 3Q26E guidance; maintain Neutral

Bilibili's (BILI) 2Q26 revenue was broadly in line with Bloomberg consensus expectations, while profitability was modestly better. Revenue rose 8% y-y to CNY7.9bn. Profitability continued to improve on operating leverage, with non-GAAP operating profit (OP) rising 21% y-y to CNY696mn, 4% above consensus, and non-GAAP operating margin (OPM) expanding 1.0pp y-y to 8.8%. Non-GAAP net profit increased 26% y-y and was 3% above consensus (Fig.1).

By business, advertising remained the main growth driver, rising 28% y-y to CNY3.1bn, although this was 1% below our estimate. VAS revenue increased 5% y-y to CNY3.0bn, 2% above our estimate. Mobile-game revenue declined 14% y-y to CNY1.4bn, 2% below our estimate, reflecting continued weakness in flagship title *San Mou* as the game matures.

For 3Q26E, BILI guided for high-single-digit y-y growth of total revenue, broadly in line with consensus, although the segment outlook is mixed: management's outlook for advertising and mobile games is below the latest consensus expectations, while the VAS outlook is better.

We reduce FY26F/27F earnings by 4%/13%, factoring in slower margin expansion amid sustained AI investment, as well as slower advertising and games growth in both years. While we are impressed by BILI's continued margin expansion, we remain cautious on the strength of top-line growth given weak games and moderating advertising outlook. We maintain Neutral with TP lowered to USD18.0 (from USD22.5), based on 15x FY27F P/E (vs. 22x FY26F P/E previously), implying 0.7x PEG to factor in potential downside risks for the gaming and ads business. We prefer Tencent (700 HK, Buy), which trades at a cheaper 12.3x FY27F P/E (vs. BILI's 13x), while having a more solid position in China's social and online entertainment space.

Advertising: 2H growth moderates faster than expected

Management guides for low-20s y-y growth in 3Q26E advertising, vs consensus of 25% before the results, reflecting a tougher comparison base and a still-challenging macro environment.

Furthermore, BILI continues to target FY26E advertising growth broadly comparable with FY25's 23% y-y, which, based on our analysis, implies c.19% y-y growth in 2H26, below our previous forecast of 25%. Aside from the high-base effect highlighted by management, we think cooling competition among Chinese AI chatbots since 2Q26 — including ByteDance's (unlisted) Doubao, Alibaba's (BABA US, Buy) Qwen and Tencent's Yuanbao — could further weigh on advertising growth in 2H26. (Continued on page 4...)

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	30,348	33,133	32,880	36,977	36,418	40,859	40,138	
Reported net profit (mn)	1,194	1,847	1,657	2,641	2,228	3,518	2,786	
Normalised net profit (mn)	2,590	3,278	3,121	4,419	3,832	5,747	4,536	
FD normalised EPS	5.83	7.14	6.86	9.63	8.42	12.52	9.97	
FD norm. EPS growth (%)	—	22.4	17.6	34.8	22.8	30.0	18.4	
FD normalised P/E (x)	19.7	—	16.0	—	13.0	—	11.0	
EV/EBITDA (x)	14.4	—	11.9	—	8.5	—	7.5	
Price/book (x)	3.0	—	2.6	—	2.4	—	2.1	
Dividend yield (%)	—	—	—	—	—	—	—	
ROE (%)	8.0	11.2	10.1	14.1	12.1	16.1	13.4	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

Rating Remains	Neutral
Target price Reduced from USD 22.50	USD 18.00
Closing price 26 August 2026	USD 16.15
Implied upside	+11.5%
Market Cap (USD mn)	6,758.9
ADT (USD mn)	44.0

Relative performance chart



Source: LSEG, Nomura

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Key data on Bilibili Inc

Performance

(%)	1M	3M	12M		
Absolute (USD)	-5.9	-9.2	-29.0	M cap (USDmn)	6,758.9
Absolute (USD)	-5.9	-9.2	-29.0	Free float (%)	49.0
Rel to NASDAQ COMPOSITE	-10.5	-7.2	-50.3	3-mth ADT (USDmn)	44.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	26,832	30,348	32,880	36,418	40,138
Cost of goods sold	-18,058	-19,234	-20,637	-22,639	-24,751
Gross profit	8,774	11,114	12,243	13,779	15,387
SG&A	-9,086	-8,924	-9,601	-10,416	-11,279
Employee share expense	-1,032	-1,066	-1,118	-1,238	-1,365
Operating profit	-1,344	1,124	1,524	2,125	2,743
EBITDA	983	3,151	3,655	4,369	5,036
Depreciation	-554	-481	-567	-618	-676
Amortisation	-1,772	-1,545	-1,563	-1,626	-1,616
EBIT	-1,344	1,124	1,524	2,125	2,743
Net interest expense	346	281	309	309	309
Associates & JCEs					
Other income	-402	-198	-100	-100	-100
Earnings before tax	-1,400	1,208	1,733	2,334	2,953
Income tax	37	-17	-87	-117	-177
Net profit after tax	-1,364	1,191	1,647	2,218	2,776
Minority interests	17	3	10	10	10
Other items	1,325	1,397	1,465	1,604	1,750
Preferred dividends					
Normalised NPAT	-22	2,590	3,121	3,832	4,536
Extraordinary items	-1,325	-1,397	-1,465	-1,604	-1,750
Reported NPAT	-1,347	1,194	1,657	2,228	2,786
Dividends					
Transfer to reserves	-1,347	1,194	1,657	2,228	2,786

Valuations and ratios

Reported P/E (x)	—	42.8	30.2	22.4	17.9
Normalised P/E (x)	-2,191.0	19.7	16.0	13.0	11.0
FD normalised P/E (x)	—	19.7	16.0	13.0	11.0
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	8.1	7.2	29.2	5.8	33.1
Price/book (x)	3.5	3.0	2.6	2.4	2.1
EV/EBITDA (x)	44.0	14.4	11.9	8.5	7.5
EV/EBIT (x)	—	40.5	28.6	17.4	13.7
Gross margin (%)	32.7	36.6	37.2	37.8	38.3
EBITDA margin (%)	3.7	10.4	11.1	12.0	12.5
EBIT margin (%)	-5.0	3.7	4.6	5.8	6.8
Net margin (%)	-5.0	3.9	5.0	6.1	6.9
Effective tax rate (%)	—	1.4	5.0	5.0	6.0
Dividend payout (%)	—	0.0	0.0	0.0	0.0
ROE (%)	-9.5	8.0	10.1	12.1	13.4
ROA (pretax %)	-5.6	4.4	5.2	7.2	9.1

Growth (%)

Revenue	19.1	13.1	8.3	10.8	10.2
EBITDA		220.6	16.0	19.5	15.3
Normalised EPS		—	17.6	22.8	18.4
Normalised FDEPS		—	17.6	22.8	18.4

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	983	3,151	3,655	4,369	5,036
Change in working capital	4,625	157	-1,850	4,356	-3,347
Other operating cashflow	407	3,840	-91	-121	-181
Cashflow from operations	6,015	7,147	1,714	8,604	1,508
Capital expenditure	-1,755	-1,827	-1,980	-2,084	-2,096
Free cashflow	4,260	5,320	-266	6,520	-588
Reduction in investments	-115	0	0	0	0
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	1,732	-2,039	0	0	0
CF after investing acts	5,877	3,281	-266	6,520	-588
Cash dividends					
Equity issue	-6,176	-823	0	0	0
Debt issue	3,240	18	0	0	0
Convertible debt issue					
Others	116	4,934	0	0	0
CF from financial acts	-2,819	4,128	0	0	0
Net cashflow	3,058	7,410	-266	6,520	-588
Beginning cash	7,242	10,299	12,234	11,968	18,488
Ending cash	10,299	17,709	11,968	18,488	17,901
Ending net debt	-5,463	-2,598	-2,331	-8,852	-8,264

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	10,299	12,234	11,968	18,488	17,901
Marketable securities	2,707	6,447	6,447	6,447	6,447
Accounts receivable	1,227	1,268	1,615	1,778	2,072
Inventories	0	0	0	0	0
Other current assets	5,523	7,600	7,669	7,959	8,274
Total current assets	19,756	27,550	27,699	34,672	34,694
LT investments	3,912	4,762	4,762	4,762	4,762
Fixed assets	589	695	757	829	824
Goodwill	2,725	2,818	2,818	2,818	2,818
Other intangible assets	3,201	3,110	3,110	3,092	3,113
Other LT assets	2,515	2,233	2,233	2,233	2,233
Total assets	32,699	41,168	41,379	48,406	48,444
Short-term debt	1,572	4,861	4,861	4,861	4,861
Accounts payable	4,801	5,497	4,589	6,569	5,268
Other current liabilities	8,390	9,969	9,442	12,270	10,834
Total current liabilities	14,763	20,327	18,892	23,701	20,963
Long-term debt	3,264	4,776	4,776	4,776	4,776
Convertible debt					
Other LT liabilities	568	516	516	516	516
Total liabilities	18,595	25,619	24,184	28,993	26,255
Minority interest	-4	-25	-35	-45	-55
Preferred stock	0	0	0	0	0
Common stock	41,503	41,864	41,864	41,864	41,864
Retained earnings	-27,661	-26,474	-24,818	-22,590	-19,804
Proposed dividends					
Other equity and reserves	267	184	184	184	184
Total shareholders' equity	14,108	15,573	17,230	19,458	22,243
Total equity & liabilities	32,699	41,168	41,379	48,406	48,444

Liquidity (x)

Current ratio	1.34	1.36	1.47	1.46	1.66
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	-3.23	2.69	3.64	4.90	6.12
Norm EPS (CNY)	-5.31c	5.83	6.86	8.42	9.97
FD norm EPS (CNY)	-5.31c	5.83	6.86	8.42	9.97
BVPS (CNY)	33.88	37.18	41.13	46.45	53.10
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	19.1	15.0	16.0	17.0	17.6
Days inventory	0.0	0.0	0.0	0.0	
Days payable	92.3	97.7	89.2	90.0	87.5
Cash cycle	-73.3	-82.7	-73.2	-72.9	-70.0

Source: Company data, Nomura estimates

Company profile

Bilibili operates a PUGV (professional user generated video) platform with strong presence among young users in China. The company offers a variety of services such as mobile games, live broadcasting, membership and ecommerce.

Valuation Methodology

We use P/E as our primary valuation methodology to derive our TP of USD18, based on 15x FY27F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price

An upside risk is higher-than-expected game and ads revenue growth. Downside risks include: 1) slower-than-expected MAU growth; 2) regulatory risk on content and copyrights; 3) slower-than-expected growth in gaming revenue; and 4) rising content costs.

ESG

Bilibili's business is environment friendly as it does not cause pollution or generate greenhouse gas. It creates significant opportunities for content creators.

(...continued from page 1)

Games: 3Q26 remains weak; execution on new titles is key

Games remain the main near-term top-line drag. Mobile-game revenue declined 14% y-y in 2Q26, and management expects 3Q26E game revenue to decline another 8% y-y, despite an easier comparison base, likely reflecting continued weakness in flagship title *San Mou*.

Management is more optimistic on the 4Q26E outlook, expecting game revenue to resume positive y-y growth, driven by new-title launches, including the upcoming launch of *Lumi Master* on 17 September and *San Wang* around year-end. Despite management's positive tone, we remain cautious on the potential contribution from these new titles given Bilibili's lackluster track record with new-game launches.

AI investment remains a drag

Management continues to expect approximately CNY1bn of incremental AI-related capex in FY26, primarily related to computing infrastructure and servers. Around 70–80% of this amount had already been committed or paid in 1H26, including capacity locked in ahead of deployment.

Management estimates that the CNY1bn incremental AI capex will have an approximately CNY500mn impact on FY26E bottom line, primarily through server depreciation recorded in R&D expenses. Just over 40% of the full-year earnings impact was recognized in 1H26, with roughly 55% expected to be recognized in 2H26E. Management stressed that its AI investment remains disciplined and ROI-driven, with spending focused on video understanding, video distribution and video creation.

We think BILI has so far maintained reasonable investment discipline, but AI investment is unlikely to be limited to FY26F. With advertising growth moderating and games recovery still uncertain, further margin expansion will increasingly depend on execution, in our view, instead of cost-cutting initiatives.

Fig. 1: BILI – 2Q26 results review

2Q26 results review									
CNYmn	2Q26	1Q26	2Q25	YoY	QoQ	Cons.	vs. Cons.	NMR E	vs. NMR
Revenues	7,940	7,472	7,338	8%	6%	7,923	0%	7,944	0%
Gross profit	2,955	2,773	2,676	10%	7%	2,955	0%	2,962	0%
Gross margin	37.2%	37.1%	36.5%	0.7ppt	0.1ppt	37.3%	-0.1ppt	37.3%	-0.1ppt
Non-GAAP op	696	524	573	21%	33%	668	4%	676	3%
Non-GAAP op margin	8.8%	7.0%	7.8%	1.0ppt	1.8ppt	8.4%	0.3ppt	8.5%	0.3ppt
Non-GAAP net profit	708	593	562	26%	19%	690	3%	708	0%
Non-GAAP net margin	8.9%	7.9%	7.7%	1.3ppt	1.0ppt	8.7%	0.2ppt	8.9%	0.0ppt
Non-GAAP EPS (CNY)	1.58	1.31	1.29	23%	21%	1.51	5%	1.54	3%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: BILI – revenue mix

Revenue mix									
CNYmn	2Q26	1Q26	2Q25	YoY	QoQ	% of Rev	NMR E	vs. NMR	
Revenue									
Mobile games	1,392	1,523	1,612	-14%	-9%	18%	1,419	-2%	
VAS	2,967	2,912	2,837	5%	2%	37%	2,922	2%	
Advertising	3,131	2,589	2,449	28%	21%	39%	3,159	-1%	
IP derivatives and others	450	448	440	2%	0%	6%	444	1%	
Total net revenue	7,940	7,472	7,338	8%	6%	100%	7,944	0%	

Source: Company data, Nomura estimates

Fig. 3: BILI – revisions to our earnings estimates

NMR Estimates: New vs Old						
(CNYmn except for EPS)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenues	32,880	33,133	-1%	36,418	36,977	-2%
Gross profit	12,243	12,493	-2%	13,779	14,386	-4%
Gross margin	37.2%	37.7%	-0.5ppt	37.8%	38.9%	-1.1ppt
Non-GAAP op	2,929	3,029	-3%	3,663	4,266	-14%
Non-GAAP op margin	8.9%	9.1%	-0.2ppt	10.1%	11.5%	-1.5ppt
Non-GAAP net profit	3,121	3,278	-5%	3,832	4,419	-13%
Non-GAAP net margin	9.5%	9.9%	-0.4ppt	10.5%	12.0%	-1.4ppt
Non-GAAP EPS (CNY)	6.86	7.14	-4%	8.42	9.63	-13%

Source: Nomura estimates

Appendix A-1

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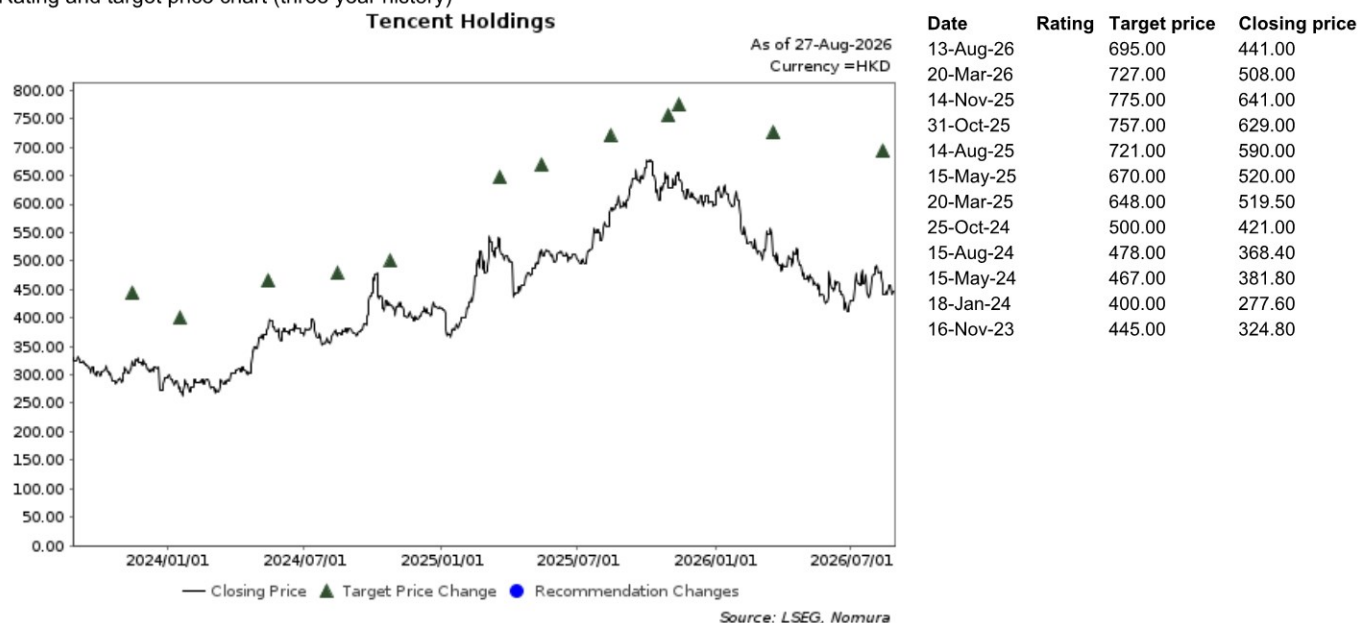
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tencent Holdings	700 HK	HKD 447.80	27-Aug-2026	Buy	N/A	A1,A3,A10
Alibaba Group Holding	BABA US	USD 119.83	26-Aug-2026	Buy	N/A	A10
Bilibili Inc	BILI US	USD 16.15	26-Aug-2026	Neutral	N/A	A10

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Tencent Holdings (700 HK)

HKD 447.80 (27-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



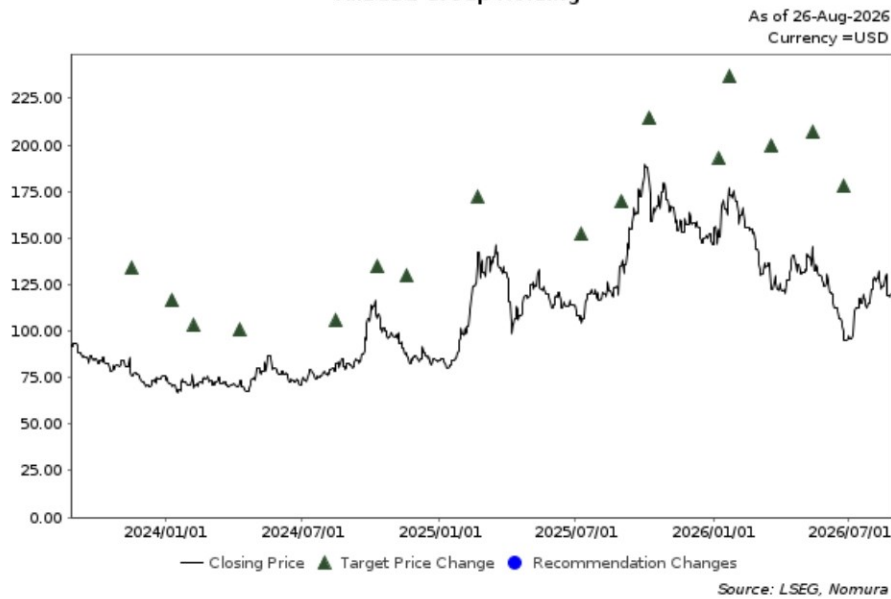
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Tencent's online gaming business at USD266bn (FY27F P/E of 15x), online advertising business at USD259bn (FY27F P/E of 18x), Fintech business at USD144bn (FY27F P/E of 12x), and Cloud business at USD64bn (FY27F P/S of 6x). We value investees at USD65bn. The resulting TP is HKD695. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Alibaba Group Holding (BABA US)**USD 119.83 (26-Aug-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alibaba Group Holding

Date	Rating	Target price	Closing price
24-Jun-26		178.00	99.80
14-May-26		207.00	141.12
20-Mar-26		200.00	122.41
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34

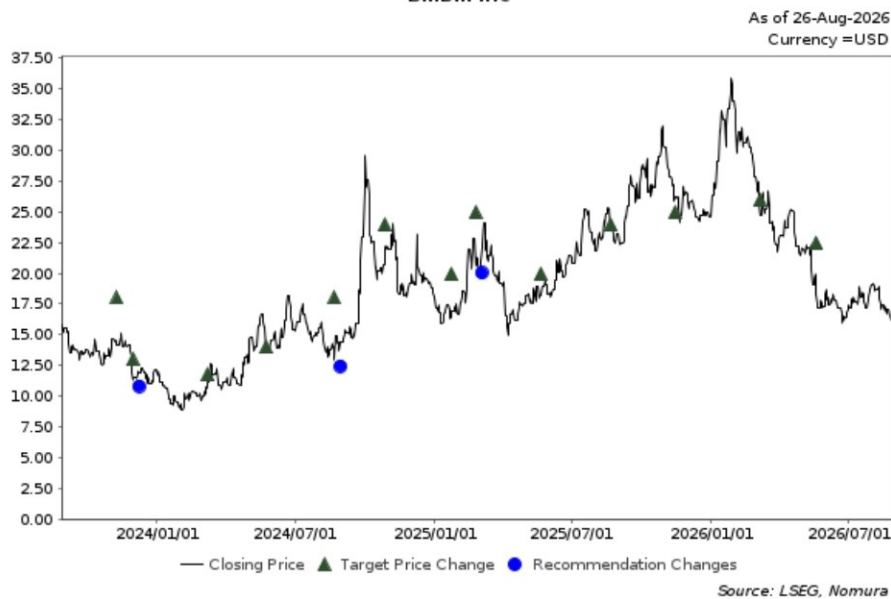
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD87bn, based on 5x FY27F P/E; its AliCloud business at USD278bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

Bilibili Inc (BILI US)**USD 16.15 (26-Aug-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Bilibili Inc

Date	Rating	Target price	Closing price
20-May-26		22.50	18.30
06-Mar-26		26.00	24.67
14-Nov-25		25.00	26.18
22-Aug-25		24.00	23.98
21-May-25		20.00	18.22
24-Feb-25	Neutral		20.53
24-Feb-25		25.00	20.53
23-Jan-25		20.00	16.43
27-Oct-24		24.00	20.65
22-Aug-24	Buy		12.96
22-Aug-24		18.00	12.96
24-May-24		14.00	13.94
08-Mar-24		11.80	11.13
30-Nov-23	Neutral		11.33
30-Nov-23		13.00	11.33
09-Nov-23		18.00	14.20

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use P/E as our primary valuation methodology to derive our TP of USD18, based on 15x FY27F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price An upside risk is higher-than-expected game and ads revenue growth. Downside risks include: 1) slower-than-expected MAU growth; 2) regulatory risk on content and copyrights; 3) slower-than-expected growth in gaming revenue; and 4) rising content costs.

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As at 30 June 2026.

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STOCKS

A rating of '**Buy**', indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of '**Neutral**', indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of '**Reduce**', indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of '**Suspended**', indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as '**Not rated**' or shown as '**No rating**' are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

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Target Price

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